IN THE UNITED STATES BANKRUPTCY COURT
FOR THE WESTERN DISTRICT OF TEXAS
AUSTIN DIVISION

In re:	§	**Case No. 22-10783-smr**
	§	
JUST ONE DIME COACHING, LLC,	§	**Chapter 7**
Debtor.	§	Case No. 22-10783-smr
	§	Chapter 7
MINNS FIRM CLIENTS,	§	
Plaintiff,	§	Adv. Pro. No. 23-01036-smr
v.		
DANILO VARRIALE; DANMARK, INC.; DANVID, f/k/a BEARDMAN COMPANY CORP.; DAGABIA, INC.; DSD IMPORTS BROS., LLC; BRETT GEORGE; N2 ECOM, LLC; AKH INVESTMENTS, LLC; BOH SOLUTIONS, LLC; DAVID LOPEZ; VICTORIA ECOM, LLC; LUXEUP, INC.; VICTORIA STATE, LLC; APPS INNOVATION, INC.; PATRICK CUPILLARI; AND THE SKUNK LABS, LLC; TRAVIS SETH KNIEP; JOSIAH KNIEP; KIMBERLY KNIEP; AND AUDREY "ATALIE" KNIEP,		
Defendants.		

MOTION OF PATRICK CUPILLARI, THE SKUNK LABS, LLC, 324 MAIN STREET PROPERTY, LLC, AND PROPHET CONSULTANTS, LLC TO DISMISS AMENDED ADVERSARY COMPLAINT FILED BY MINNS FIRM CLIENTS

This pleading requests relief that may be adverse to your interests.

If no timely response is filed within 21 days from the date of service, the relief requested herein may be granted without a hearing being held.

A timely filed response is necessary for a hearing to be held.

Any response must be timely filed with the United States Bankruptcy Clerk, Western District of Texas, 903 San Jacinto Blvd., Suite 322, Austin, Texas 78701.

If a timely response is filed, the Court will then set a hearing on the Motion, and you will be provided with notice of the date, time, and place of the hearing.

If you do not attend the hearing, the Court may decide that you do not oppose the Motion.

TO THE HONORABLE SHAD M. ROBINSON, UNITED STATES BANKRUPTCY JUDGE:

MOTION OF PATRICK CUPILLARI, SKUNK LABS, LLC, 324 MAIN STREET PROPERTY, LLC, AND PROPHET CONSULTANTS, LLC TO DISMISS AMENDED ADVERSARY COMPLAINT FILED BY MINNS FIRM CLIENTS

Patrick Cupillari, Skunk Labs, LLC, 324 Main Street Property, LLC, and Prophet Consultants, LLC (collectively, the "New Jersey Based Defendants"), by and through their attorneys, Rabinowitz, Lubetkin & Tully, LLC and McGinnis Lochridge LLP, hereby file this, their *Motion to Dismiss Adversary Complaint Filed by Minns Firm Clients* (the "Motion"), and respectfully show unto the Court the following:

TO THE HONORABLE SHAD M. ROBINSON, UNITED STATES BANKRUPTCY JUDGE:

Patrick Cupillari, Skunk Labs, LLC, 324 Main Street Property, LLC, and Prophet Consultants, LLC (collectively, the "New Jersey Based Defendants"), by and through their attorneys, Rabinowitz, Lubetkin & Tully, LLC and McGinnis Lochridge LLP, hereby file this, their Motion to Dismiss Adversary Complaint Filed by Minns Firm Clients (the "Motion"), and respectfully show unto the Court the following:

INTRODUCTION

1. The New Jersey Based Defendants bring this motion to dismiss the Amended Complaint of the Minns Firm Clients for failure to state a claim on numerous grounds.

2. On November 23, 2022, Just One Dime Coaching, LLC (the "Debtor") filed a Voluntary Petition pursuant to the provisions of Chapter 7 of the Bankruptcy Code.

3. On November 23, 2022, Randolph N. Osherow (the "Trustee") was appointed as interim Chapter 7 Trustee for the Debtor's bankruptcy estate and continues to serve as Trustee herein.

4. Prior to the commencement of the Debtor's bankruptcy proceeding, the Minns Firm Clients filed five District Court suits against the Debtor and various parties with whom the Debtor contracted. The District Court actions assert (i) breach of contract; (ii) conspiracy to commit fraud; (iii) unjust enrichment; (iv) fraudulent transfer claims; and (v) the failure to register securities claims. The New Jersey Based Defendants were not named as defendants in any of the pre-petition suits. Those District Courts complaints are public records which the Court can consider on this motion to dismiss.

5. On November 28, 2023, the Minns Firm Clients filed the initial adversary proceeding Complaint which commenced the action to which this dismissal motion relates. That initial Complaint asserted breach of contract claims (based on a third party beneficiary theory), conspiracy to

conspiracy to commit fraud claims, and unjust enrichment claims, all of which underlying causes of action were also asserted in the pre-petition District Court actions.

6. The initial Complaint attached the Amazon Store Builder Independent Partner Agreement between the Debtor and N2 Ecom LLC, and asserts such form was the contract utilized between the Debtor and the "Brand Builders" which purportedly supports plaintiffs' third party beneficiary breach of contract claims. See, Exhibit "2" of plaintiffs' initial Complaint. The New Jersey Based Defendants were added as additional defendants to the adversary proceeding via the Complaint, despite not being defendants in any of the pre-petition District Court actions. The Debtor, who was a defendant in all the District Court matters, was not included as a defendant in the adversary proceeding.

7. The Debtor and the Minns Firm Clients are parties to agreements, called "Services Agreements," also referenced in the Amended Complaint, and attached to the District Court complaints, under which the Debtor became obligated to perform certain activities for the Minns Firm Clients. Pursuant to an Amazon Store Builder Independent Partner Agreement (the "Agreement") between the Debtor and Skunk Labs, LLC ("Skunk Labs"), one of the New Jersey Based Defendants, Skunk Labs agreed to perform certain activities for the Debtor. The Minns Firm Clients are not intended beneficiaries of the commercial contract between the Debtor and Skunk Labs, nor do the Minns Firm Clients qualify as a donee or creditor beneficiary under the Agreement.

8. On June 22, 2022, in connection with the termination of the relationship between the Debtor and Skunk Labs, the Debtor voluntarily and knowingly waived and released any and all claims against Skunk Labs.

9. Defendant Patrick Cupillari is the principal of Skunk Labs. The other New Jersey Based Defendants are affiliates of Mr. Cupillari that were involved with the Debtor as third party customers.

THE MOTION TO DISMISS

10. As set forth below, even deeming the allegations of fact contained in the Amended Complaint as true, and considering the exhibits attached to the initial Complaint, and matters of

Tex. Nov. 7, 2023) (quoting Ashcroft v. Iqbal, 556 U.S. 662, 678 (2009)). "A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." Id. at *3 (quoting Iqbal, 556 U.S. at 678). A plaintiff must provide "enough factual allegations to draw the reasonable inference that the elements exist." Ibid. (quoting Innova Hosp. San Antonio, L.P. v. Blue Cross & Blue Shield of Ga., Inc., 995 F. Supp. 2d 587, 602 (N.D. Tex. Feb. 3, 2014)).

15. Although all factual allegations from the complaint should be taken as true, and the facts must be construed in the light most favorable to the nonmoving party, a complaint must contain "more than labels and conclusions, and a formulaic recitation of the elements of a cause of action will not do." Ibid. (citing Bell Atl. Corp. v. Twombly, 550 U.S. 544, 555 (2007)). "'[N]aked assertions' devoid of 'further factual enhancement,'" and "threadbare recitals of the elements of a cause of action, supported by mere conclusory statements," are not entitled to the presumption of truth. Id. at *4 (quoting Iqbal, 556 U.S. at 678 (quoting Twombly, 550 U.S. at 557)).

THE COMPLAINT LACKS THE REQUISITE ALLEGATIONS BY EACH PLAINTIFF AGAINST THE NEW JERSEY BASED DEFENDANTS IN THE AMENDED COMPLAINT

16. As indicated, the Amended Complaint contains seven counts.

17. Count 1 asserts a claim by plaintiffs as alleged third party beneficiaries of the Agreement between the Debtor and Skunk Labs. The New Jersey Based Defendants are identified in the Amended Complaint as one of the "Brand Builders," and the Amended Complaint references in paragraph 52 the "independent contractor" contracts the Debtor had with each "Brand Builder." The initial Complaint attached the form Amazon Store Builder Independent Partner Agreement between the Debtor and one of the Brand Builders. As concerns Skunk Labs, that contract is the

not allege that they, and they in fact did not, give proper notice of their alleged claims to the New Jersey Based Defendants. Thus, at the very least, this action must be abated pending proper notice of his action.

As for the Alleged Securities Law Violations

60. The plaintiffs maintain that their "Service Agreements" with the Knieps and other the Debtor entities qualify as "investment contracts that constitute securities." Amended Complaint ¶ 105. Here too, they are mistaken.

61. Under the test set forth by the Supreme Court in the Howey decision, an investment contract qualifies as a security if it meets three requirements: (1) an investment of money; (2) in a common enterprise; and (3) on an expectation of profits to be derived solely from the efforts of others. Securities Exchange Commission v. Arcturus Corp., 928 F.3d 400, 409 (5th Cir. 2019) (citing Securities Exchange Commission v. W.J. Howey Co., 328 U.S. 293 (1946)).

62. Here, the plaintiffs cite to no provision in any Service Agreement pursuant to which the plaintiffs "invested" money, in a "common enterprise," "on an expectation of profits" solely from the efforts of others. Amended Complaint ¶¶ 104-05. Indeed, by definition, a "Service Agreement" does not contemplate "investment."

63. Also here too, the plaintiffs raise allegations inconsistent with earlier paragraphs. Compare Amended Complaint ¶¶ 48, 108 (alleging that Kniep or the Knieps recruited the plaintiffs), with ¶ 106 (alleging that the defendants had "intimate knowledge" of the recruitment of and in fact they recruited the plaintiffs).

64. Finally, at the very least, the plaintiffs fail to satisfy Rule 8 because they allege only that Brand Builders assisted in the recruitment of the plaintiffs, without any specifics.

21. Here, the plaintiffs cite to no provision in any Service Agreement pursuant to which the plaintiffs "invested" money, in a "common enterprise," on an expectation of "profits" solely from the efforts of others. Amended Complaint ¶¶ 104-05. Indeed, by definition, a "Service Agreement" does not contemplate "investment."

22. Also, here too, the plaintiffs raise allegations inconsistent with earlier paragraphs. Compare Amended Complaint ¶¶ 48, 108 (alleging that Kniep or the Knieps recruited the plaintiffs), with ¶ 108 (alleging that the defendants had "intimate knowledge" of the recruitment of and in fact

23. Finally, at the very least, the plaintiffs fail to satisfy Rule 8 because they allege only that Brand Builders assisted in the recruitment of the plaintiffs, without any specifics.

24. The Texas Supreme Court has adopted a version of the Howey test to determine when investment contracts qualify as securities under the Texas Securities Act. Carr v. Barnett, 2022 U.S. Dist. LEXIS 89196, at *16-17 (N.D. Tex. May 18, 2022) (citing Life Partners, Inc. v. Arnold, 464 S.W.3d 660, 670 (Tex. 2015)). Texas courts look for an "investment in a common venture premised on a reasonable expectation of profits to be derived from the entrepreneurial or managerial efforts of others." Ibid. (quoting United Housing Foundation Inc. v. Forman, 421 U.S. 837, 840 (1975) (emphasis omitted)).

25. The plaintiffs appear to misunderstand the "TUFTA" fraudulent transfer statute, which allows a creditor of a debtor-transferor to recover transfers from a transferee. Tex. Bus. & Com. Code §§ 24.005, 24.006.

26. Here, the plaintiffs allege that "the fraudulent transfers were made by Defendants for their own financial benefit." Amended Complaint ¶ 131-32 (emphasis added). Having failed to allege that they were creditors of the New Jersey Based Defendants, they lack standing to assert such a claim.

27. Even assuming that the plaintiffs could be interpreted to seek avoidance of transfers by the Debtor to the New Jersey Based Defendants, plaintiffs fail to allege basic, threshold facts required to support such a claim. More specifically, they fail to allege under section 24.005(b) and consistent with Rule 9(b) any badges of fraud that might indicate fraudulent intent; that the Debtor received less than reasonably equivalent value in exchange for any transfers; or that the Debtor was insolvent or was rendered insolvent as a result of the transfers. Dismissal is thus required.

65. The Texas Supreme Court has adopted a version of the Howey test to determine when investment contracts qualify as securities under the Texas Securities Act. Carr v. Barnett, 2022 U.S. Dist. LEXIS 89196, at *16-17 (N.D. Tex. May 18, 2022) (citing Life Partners, Inc. v. Arnold, 464 S.W.3d 660, 670 (Tex. 2015)). Texas courts look for an "investment in a common venture premised on a reasonable expectation of profits to be derived from the entrepreneurial or managerial efforts of others." Ibid. (quoting United Housing Foundation Inc. v. Forman, 421 U.S. 837, 840 (1975) (emphasis omitted)).

66. As noted above in connection with Count 4 for "Conspiracy to Sell Unregistered Securities in Violation of the Securities Act," the plaintiffs cite to no provision in any Service Agreement pursuant to which the plaintiffs made an "investment," in a "common venture," premised on an expectation of "profits" to be derived from the efforts of others. Amended Complaint ¶¶ 118-19. The anticipated profits here were to be obtained from the sale by plaintiffs of products on Amazon. It was their efforts, their sales, that would generate income, not efforts of others.

As for the Fraudulent Transfer Claim

As for the Fraudulent Transfer Claim

67. The plaintiffs appear to misunderstand the "TUFTA" fraudulent transfer statute, which allows a creditor of a debtor-transferor to recover transfers from a transferee. Tex. Bus. & Com. Code §§ 24.005, 24.006.

68. Here, the plaintiffs allege that "the fraudulent transfers were made by Defendants for their own financial benefit." Amended Complaint ¶ 131-32 (emphasis added). Having failed to allege that they were creditors of the New Jersey Based Defendants, they lack standing to assert such a claim.

As for the Unjust Enrichment Count

28. Under Texas law, unjust enrichment is not an independent cause of action. Midwestern Cattle Mktg., LLC v. Legend Bank, NA, 999 F.3d 970, 972 (5th Cir. 2021) (noting "Texas state courts' understanding that unjust enrichment describes the nature of certain claims and remedies, not a distinct cause of action itself"). Plaintiffs admit this reality in the Amended Complaint itself.

29. Thus, Count 7, in which the plaintiffs assert unjust enrichment, must be dismissed.

Conclusion

30. For the foregoing reasons, the Minns Firm Clients' Amended Complaint should be dismissed.

Dated: January 23, 2024

Respectfully submitted,

By: /s/ Jeffrey A. Cooper
Jeffrey A. Cooper
Rabinowitz, Lubetkin & Tully, LLC
293 Eisenhower Parkway, Suite 100
Livingston, NJ 07083
State Bar No. (NJ) 022401980
State Bar No. (NY) 2137073
Telephone: (973) 597-9100
Facsimile: (973-597-9119)
E-mail: jcooper@rltlawfirm.com

-AND-

By: /s/ Christopher L. Halgren
Christopher L. Halgren
State Bar No. (TX) 24069859
McGinnis Lochridge LLP
609 Main St, Suite 2800
Houston, TX 77002
Telephone: (713) 615-8539
Facsimile: (713) 328-1839
E-mail: chalgren@mcginnislaw.com

ATTORNEYS FOR PATRICK CUPILLARI, SKUNK LABS, LLC, 324 MAIN STREET PROPERTY, LLC, AND PROPHET CONSULTANTS, LLC

CERTIFICATE OF SERVICE

The undersigned hereby certifies that, on the 23rd day of January 2024, she personally caused true and correct copies of the foregoing pleading, together with all attachments hereto, to be served by electronically filing it with the Court using the Court's CM/ECF system, which sent notification to the parties receiving same through such system as listed in the attached Matrix, and on the parties shown on the below service list, via first class U.S. Mail and/or e-mail.

Jay H. Ong, Esq.
Thanhan Nguyen
MUNSCH HARDT KOPF & HARR, P.C.
1717 West 6th Street, Suite 250
Austin, Texas 78703
Counsel to the Chapter 7 Trustee

Rain Levy Minns Udall, Esq.
Minns Law Firm, P.C.
d/b/a Rain Minns Law Firm
4412 Spicewood Springs Rd., Suite 500
Austin, Texas 78759-8583
Counsel to the Minns Firm Clients

ATTORNEYS FOR PATRICK CUPILLARI, SKUNK LABS, LLC, 324 MAIN STREET PROPERTY, LLC, AND PROPHET CONSULTANTS, LLC

By: /s/ Christopher L. Halgren
Christopher L. Halgren

Dated: January 23, 2024

Respectfully submitted,

By: */s/ Jeffrey A. Cooper*
Jeffrey A. Cooper
Rabinowitz, Lubetkin & Tully, LLC
293 Eisenhower Parkway, Suite 100
Livingston, NJ 07083
State Bar No. (NJ) 022401980
State Bar No. (NY) 2437073
Telephone: (973) 597-9100
Facsimile: (973-597-9119)
E-mail: jcooper@rltlawfirm.com

And

By: */s/ Christopher L. Halgren*
Christopher L. Halgren
State Bar No. (TX) 24069859
McGinnis Lochridge LLP
609 Main St, Suite 2800
Houston, TX 77002
Telephone: (713) 615-8539
Facsimile: (713) 328-1839
E-mail: chalgren@mcginnislaw.com

ATTORNEYS FOR PATRICK CUPILLARI, SKUNK LABS, LLC, 324 MAIN STREET PROPERTY, LLC, AND PROPHET CONSULTANTS, LLC

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Jay H. Ong, Esq.
Thanhan Nguyen
MUNSCH HARDT KOPF & HARR, P.C.
1717 West 6th Street, Suite 250
Austin, Texas 78703
Counsel to the Chapter 7 Trustee

Rain Levy Minns Udall, Esq.
Minns Law Firm, P.C.
d/b/a Rain Minns Law Firm
4412 Spicewood Springs Rd., Suite 500
Austin, Texas 78759-8583
Counsel to the Minns Firm Clients

By: */s/ Christopher L. Halgren*
Christopher L. Halgren